🧠 CFA Options — The 4 Possible Positions

Forget the complicated terminology. There are only four basic option positions.

> The easiest way to understand them is to ask two questions:
> **1. Who has the RIGHT? 2. Who has the OBLIGATION?**

1️⃣ CALL = Right to Buy

A call option gives the **buyer** the **right to buy** the underlying asset.

Think: CALL = "I want to BUY."

```
CALL
  ↓
Right to BUY
```

2️⃣ PUT = Right to Sell

A put option gives the **buyer** the **right to sell** the underlying asset.

Think: PUT = "I want to SELL / PUT it to someone."

```
PUT
  ↓
Right to SELL
```

Combine Buy/Sell with Call/Put — The Famous 4 Positions

Position	What do you have?	Market view
Buy Call	Right to BUY	🟢 **Bullish**
Sell Call	Obligation to SELL	🔴 **Bearish / Neutral**
Buy Put	Right to SELL	🔴 **Bearish**
Sell Put	Obligation to BUY	🟢 **Bullish / Neutral**

The Four Positions in Detail

🟢 1. Buy Call

You buy a call and pay a premium. In exchange, you receive the **right to buy**.

> Biomian = ₹100 | Call strike = ₹100 | Premium = ₹5
> "I'll pay ₹5 today for the right to buy Biomian for ₹100 later."

If Biomian rises to ₹130: you buy at ₹100 when the market price is ₹130.

```
Market price = ₹130
Your strike   = ₹100
You buy for ₹100 → Asset worth ₹130
Profit before premium = ₹30
Premium = ₹5
Net profit = ₹25
```

✔ **You win when the stock goes UP.**

If Biomian falls to ₹80: why buy at ₹100 when the market sells at ₹80? You simply don't exercise.

Maximum loss = Premium

MEMORY: BUY CALL = RIGHT TO BUY = BET ON UP

🔴 2. Buy Put

You buy a put and receive the **right to sell**.

Biomian = ₹100 | Put strike = ₹100 | Premium = ₹5
"I'll pay ₹5 for the right to sell Biomian for ₹100."

If Biomian crashes to ₹70: you sell for ₹100 something worth only ₹70.

```
Strike = ₹100
Market = ₹70
Sell for ₹100 → Asset worth ₹70
Gain = ₹30
Premium = ₹5
Net profit = ₹25
```

✅ You win when the stock goes DOWN.

If Biomian rises to ₹130: why sell at ₹100 when the market offers ₹130? You don't exercise.

Maximum loss = Premium

MEMORY: BUY PUT = RIGHT TO SELL = BET ON DOWN

🔴 3. Sell Call

This is where students usually get confused. You sell a call — someone else gets the **right to buy** from you. You have the **obligation to sell** if they exercise.

Strike = ₹100 | Premium = ₹5 (received immediately)

Suppose Biomian rises to ₹130. The buyer exercises. You must sell at ₹100 even though the market price is ₹130.

```
Market = ₹130
Strike = ₹100
You must sell for ₹100
Loss = ₹30
Premium received = ₹5
Net loss = ₹25
```

😰 A short call loses when the underlying goes up.

MEMORY: SELL CALL = OBLIGATION TO SELL = BAD WHEN PRICE GOES UP

🟢 4. Sell Put

You sell a put. The buyer gets the **right to sell**. You have the **obligation to buy**.

Strike = ₹100 | Premium = ₹5 (received immediately)

The stock falls to ₹70. The put buyer sells to you at ₹100 even though it's worth only ₹70.

```
Strike = ₹100
Market = ₹70
You buy for ₹100 → Asset worth ₹70
Loss = ₹30
Premium received = ₹5
Net loss = ₹25
```

Short put loses when the stock falls.

If the stock goes up, the put buyer won't exercise, and you keep the premium.

MEMORY: SELL PUT = OBLIGATION TO BUY = GOOD WHEN PRICE GOES UP

🔥 The Most Important CFA Table

	CALL	PUT
BUY	🟢 **Right to BUY**	🔴 **Right to SELL**
SELL	🔴 **Obligation to SELL**	🟢 **Obligation to BUY**

Add the Market Direction

Position	Right / Obligation	You want price to...
🟢 **Buy Call**	Right to BUY	**↑ UP**
🔴 **Sell Call**	Obligation to SELL	**↓ DOWN / stay below strike**
🔴 **Buy Put**	Right to SELL	**↓ DOWN**
🟢 **Sell Put**	Obligation to BUY	**↑ UP / stay above strike**